

IT Hardware and Communications Equipment

Updated Optical Model

We update our detailed Optical model that include splits for Long Haul/Submarine/Metro/Pluggable (ZR/ZR+) and Telco/Cloud breakouts. We continue to model DD growth on average over CY26E-27E, given sustained cloud strength and telco momentum.

In this report, we update our expanded Optical model, moving up our 2027 estimates based on strength across end markets and products. For this market, we are looking at the total Optical Networks market, with splits for Long Haul, Submarine, and Metro, as well as Pluggable (ZR/ZR+) breakouts. Additionally, we include a breakout of customer verticals (Telco, Cloud, Enterprise) and the estimated market share CIEN has in each.

Overall growth has been choppy the last few years (prior to 2025), given telco digestion (macro) and cloud lumpiness, though beginning 2025 and now moving into CY26-27 we expect growth to sustain at DD levels. We are encouraged by the strength we see across end markets and products. We now expect DD growth this year, and an acceleration on this growth into 2027, given current dynamics around AI.

Driving our estimates is the expanding cloud applications (i.e. scale across, hyper-rail, DCOM, etc) and cloud demand acceleration, as well as growing MOFN opportunities (~10-15% of CIEN's telco business) and BEAD funding moving through the market. Our CY26 estimates move to 10% from 8%, and our CY27 estimates move to 12% from 13% (given nuances between FY and CY, as well as the higher base of CY26). We could see upward bias to our estimates with cloud demand acceleration continuing.

In alignment with our estimates, CIEN raised its FY26 guidance and gave high level commentary around FY27 - management expects "meaningful uptick" in revenue in FY27 due partially to hyper-rail and expects to see continued operating leverage into FY27+ (hyper-rail is better margin product). Despite the impressive book-to-bill and backlog posted the prior Q, the most recent Q book-to-bill was over 1 (~1.3x) and management still expects backlog to grow through the year. We would highlight that we view these backlog dynamics fundamentally different that some of the backlog dynamics in our space post pandemic/supply chain crisis - management mentioned, given their relationships with the hyperscalers, they can see that the products are being deployed (not sitting in warehouses).

Our conclusions are as follows:

- AI-related spend has already propelled the Optical market over the past few years (CY19 and CY22 notable standouts as telco spend and hyperscalers built out networks). We continue to

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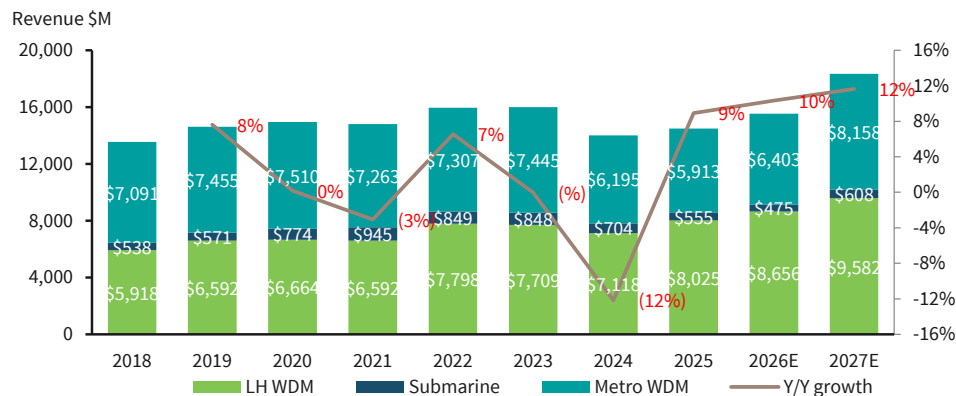
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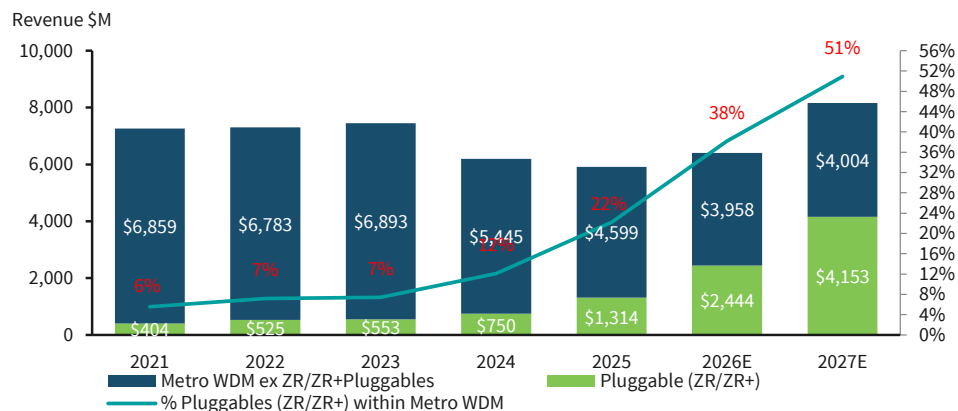
expect DD growth in the cloud vertical in CY26-CY27, as AI-related cloud build-outs broaden and continue to accelerate.

FIGURE 1. Optical Market Expected to Enjoy DD Growth Trends, Driven by Telco Recovery and AI



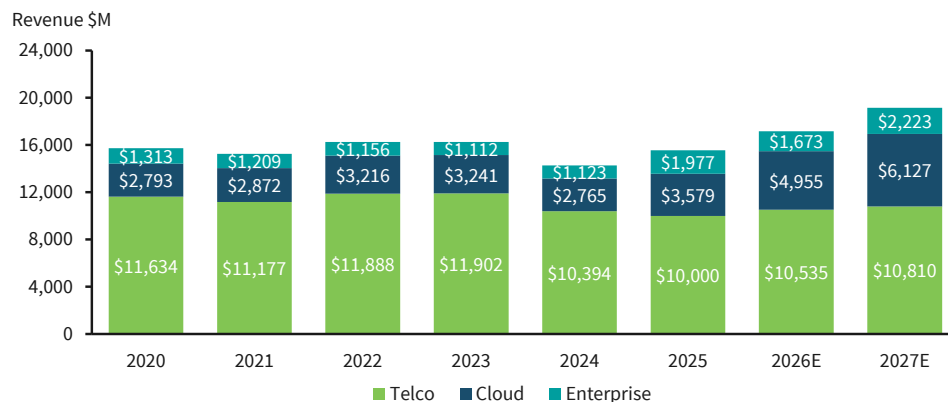
Source: 650 Group, Bloomberg, company documents, Barclays Research estimates

- We currently do not forecast meaningful coherent Optical inside the data center in CY26 (potentially could see 2H26), and believe that to be more of a CY27+ opportunity.
- We continue to expect the total Optical market to have a LSD CAGR from CY22-27, taking into account the down years of CY23-24.
 - Within this, we expect Metro to drive the lion's share of growth (down MSD in CY25 though +DD on average in CY26-27), as pluggables accelerate. We expect LH to grow this year and next (+HSD on average), as longer distance scale across (utilizes more LH network approaches vs synchronous scale across applications), MOFN-related demand, and telco general re-architecture of LH networks takes shape. We expect LH to remain roughly half of the total Optical market through CY27.
 - We expect growth in Metro to largely be driven by the rise of ZR/ZR+ Pluggables (+72% and +33% market growth during CY26-27, respectively). We believe the Metro market ex Pluggables is down HSD on average over the same time period.
- We expect Pluggables to remain a small piece of the overall Optical market (on average high teens % of the total market through CY26-27), given their limited use cases and pricing dynamics (as well as continued growth in other equipment types).

FIGURE 2. Pluggables Remain a Small, Though Rapidly Growing, Part of the Metro Market

Source: 650 Group, Bloomberg, company documents, Barclays Research estimates

- We expect Sub to see +DD recovery in CY27 (on easy comps), after multiple down years through CY26. Sub is MSD-HSD% of the total market.
- Despite the expected cloud growth opportunity, we expect telco to remain the lion's share of the industry (>50%) through CY25-27. However, we acknowledge >50% is materially lower than mid-70% representation just a few years prior.

FIGURE 3. Despite Cloud Growth, Telco Still Majority of the Market

Source: 650 Group, Bloomberg, company documents, Barclays Research estimates

Within our AI-bucketed stock exposure, Optical continues to have among the highest implied AI multiples, such as CIEN and GLW. For further details on implied AI multiples in our coverage:

[Implied AI Multiples - Rising Tides Lift Some](#), 6/01/26

FIGURE 4. Summary of Implied AI P/E as of 5/29/2026

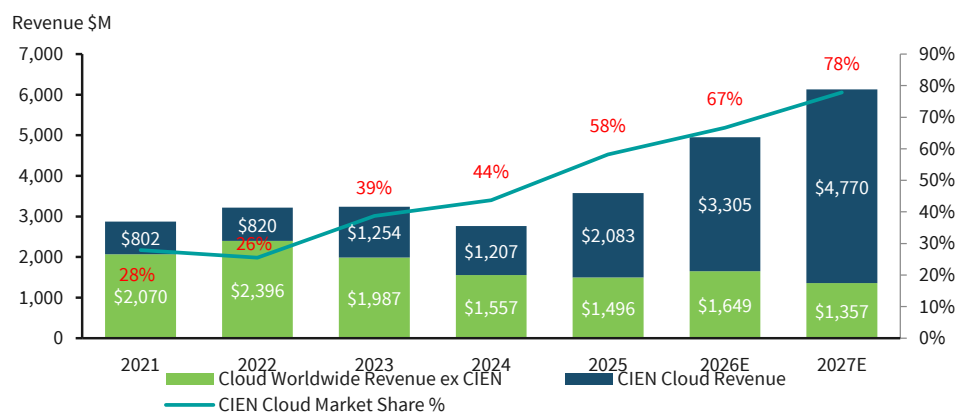
Company	Rating	p/e on CY27	core p/E	implied AI p/e
SMCI	EW	11x	11x	7x
FN	OW	36x	14x	40x
CLS	OW	26x	12x	31x
ANET	OW	37x	32x	40x
CIEN	OW	64x	18x	115x
JBL	OW	23x	12x	37x
FLEX	OW	26x	12x	40x
DELL	OW	19x	10x	58x
KEYS	OW	27x	22x	63x
HPE	OW	15x	11x	55x
GLW	EW	47x	19x	141x
CSCO	EW	25x	18x	72x
Average		30x	16x	58x

Source: Company Documents, Bloomberg, Barclays Research estimates. Industry View: Neutral. Stock rating: OW=Overweight; EW=Equal Weight; UW=Underweight. For full disclosures on each covered company, including details of our company-specific valuation methodology and risks, please refer to <http://publicresearch.barcap.com>

From a vendor standpoint:

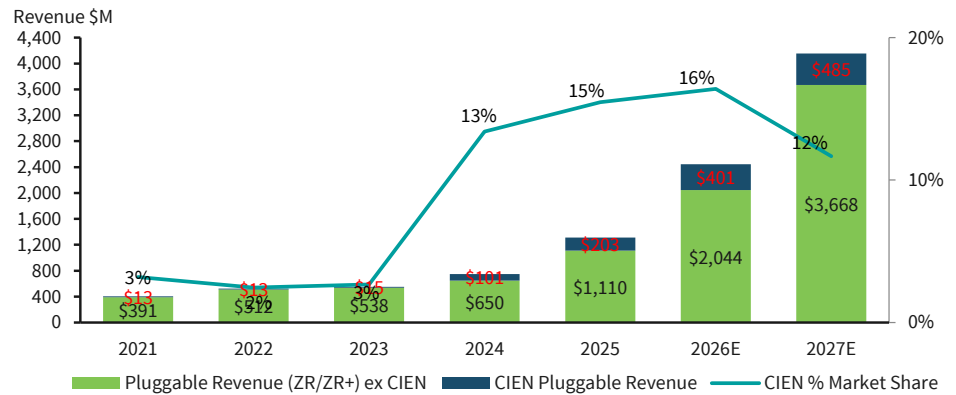
- **CIEN** (OW-rated) is the only company under our coverage in Optical that has been, and that we continue to expect to be, a share gainer – moving from 16% of the market in CY18 to ~32% in CY27E. We expect CIEN to be a beneficiary of telco customers' recovery, MOFN- related activity, and hyperscalers' AI build-outs, given its existing relationships with each customer set. CIEN also now competes in the ZR/ZR+ market, which we believe is largely incremental revenue for the company (with little cannibalization to existing Metro business).

FIGURE 5. CIEN Cloud Market Share Climbing



Source: 650 Group, Bloomberg, company documents, Barclays Research estimates

- Within the ZR/ZR+ market, we expect CIEN to maintain its market share in the mid-teens from CY24-27, given its tech advantage (first win in the market for 800G ZR+) offset by the multiple players in the market. CIEN remains on track to more than double its pluggable revenue from 2025. We expect IADC revenue to be low DD % of total revenue this FY (we forecast ~10%), implying growth of almost 300% y/y (inclusive of pluggables, DCOM, scale-across).

FIGURE 6. CIEN Market Share Within the ZR/ZR+ Pluggable Market Mid-Teens %

Source: 650 Group, Bloomberg, company documents, Barclays Research estimates

- CSCO** (EW-rated): The company had their first scale-across design win with P200 from two different hypers last Q, with an additional third hyper win announced in early Q4, leading to confidence on the uptake and momentum within this business. The other 50% of AI orders in the Q came from Optics, with five new design wins with different hypers in Q3. Management is confident in the Acacia momentum and expects 200%+ y/y growth in FY26, and we model much higher. CSCO is not a meaningful player in the LH or Sub markets. While CSCO isn't a major player in optical systems, the company's Acacia business is very strong on components and sub systems.
- Unlike other verticals under our coverage, white box does not dominate the market share of the Optical market. From CY18 to CY27, we forecast white box to stay around LSD-MSD % of the total market. We believe this is due largely to the technical complexity required of Optical systems and low overall percentage of spending.

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Ciena Corporation (CIEN, 15-Jun-2026, USD 463.41), Overweight/Neutral, CD/CE/J

Cisco Systems, Inc. (CSCO, 15-Jun-2026, USD 120.17), Equal Weight/Neutral, CD/CE/D/J/K/L/M

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Flex Ltd (FLEX)	Garmin (GRMN)	Harmonic, Inc. (HLIT)
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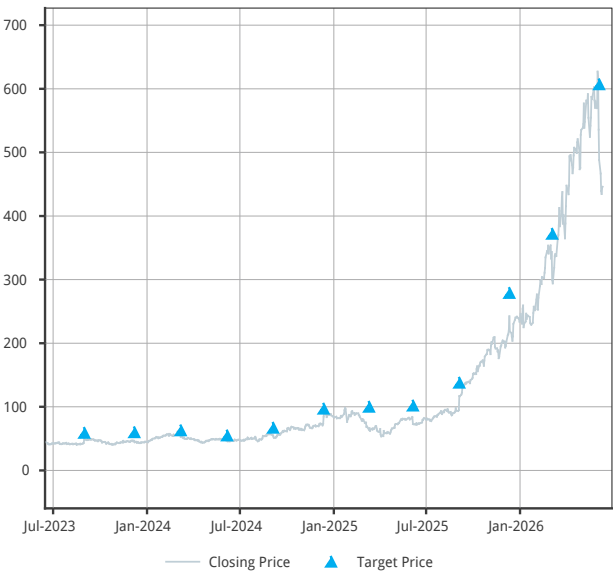
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 463.41** (15-Jun-2026)

Rating and Price Target Chart - USD (as of 15-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
05-Jun-2026	535.63		607.00
05-Mar-2026	299.30		372.00
11-Dec-2025	221.85		279.00
04-Sep-2025	94.82		138.00
05-Jun-2025	83.89		102.00
11-Mar-2025	63.95		100.00
12-Dec-2024	73.21		97.00
04-Sep-2024	55.35		67.00
06-Jun-2024	48.56		55.00
07-Mar-2024	61.96		63.00
07-Dec-2023	45.76		60.00
31-Aug-2023	43.16		59.00

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Valuation Methodology: Our price target of \$607 reflects a P/E multiple of 50x our FY28 EPS estimate of \$12.14, a premium to the 2-year average that we believe is justified based on expected triple-double-digit EPS growth in FY26e and DD growth in FY27e-FY28e.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Competition. The optical space is very competitive given high growth relative to other networking segments. 2) Volatility. Ciena's business with Telcos has consistently been lumpy, and Cloud players could become more volatile. 3) Vertical integration. Cloud vendors like to vertically integrate, though efforts to do so in optical have stalled.

Cisco Systems, Inc. (CSCO / CSCO)

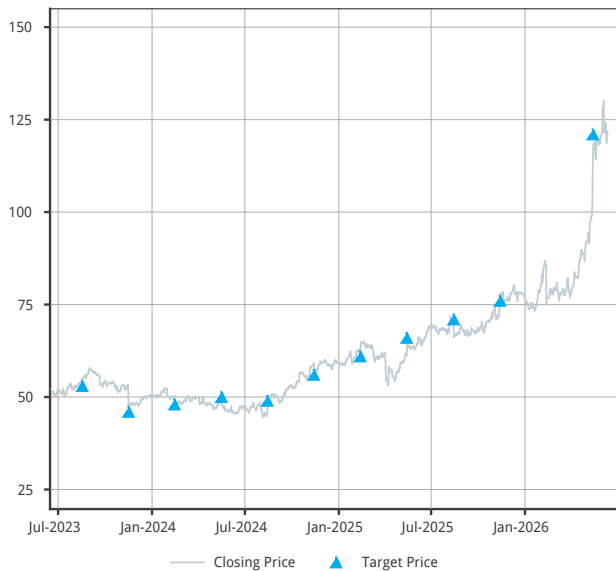
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 120.17** (15-Jun-2026)

Rating and Price Target Chart - USD (as of 15-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
14-May-2026	101.87		121.00
13-Nov-2025	73.96		76.00
14-Aug-2025	70.40		71.00
14-May-2025	61.29		66.00
12-Feb-2025	62.43		61.00
13-Nov-2024	59.18		56.00
14-Aug-2024	45.44		49.00
16-May-2024	49.67		50.00
14-Feb-2024	50.28		48.00
16-Nov-2023	53.28		46.00
17-Aug-2023	52.96		53.00

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Valuation Methodology: Our PT of \$121 is based on a 25x P/E multiple on our CY27e EPS estimate of \$4.85.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Cloud. Cisco's shares in key hardware segments are much higher on-prem then on the cloud, so the transition may negatively impact revenues. 2) Software transition. Management is investing to keep the move to software rolling. However, many in the industry are hesitant to take as-a-service offerings for typical hardware purchases. 3) Macro. Future macroeconomic softness could pressure the IT spending environment, and could continue to depress sales growth if economic and/or political uncertainty persist. Upside risks include future share gains in core verticals, better traction in software and cloud, and macro holding up better than expected.

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